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US equities tumble as tech leads broad sell-off, volatility spikes

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 slipped -1.82% to 7,580.07, dragging the Nasdaq 100 down -3.46% amid a sharp correction in mega-cap chips. NVDA led the decline with a -4.22% slide, pulling the XLK semiconductor ETF lower -4.89%. The VIX surged +12.91% to 19.42, underscoring heightened risk appetite.

Behind the numbers, the market reacted to weaker-than-expected earnings guidance from AVGO and fresh concerns over the Fed's "higher-for-longer" stance after the latest FOMC minutes. Energy rallied on a +2.08% jump in WTI, while defensive sectors (XLP, XLV, XLU) posted modest gains, hinting at a short-term flight-to-quality.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,580.07	-1.82%	Broad equity sell-off driven by tech earnings miss and Fed-rate concerns.
Nasdaq 100	28,384.85	-3.46%	Heavy weighting to chips; **NVDA** and **AVGO** underperformed.
Dow Jones	51,770.31	-1.09%	Industrial exposure softened as investors trimmed risk.
Russell 2000	2,811.84	-1.66%	Small-cap sentiment dragged by higher rates.
VIX	19.42	+12.91%	Volatility spike after Fed minutes signaled no rate cuts.
10Y Yield	4.93	-1.20%	Yield fell on safe-haven demand.
WTI Crude	104.12	+2.08%	Supply concerns in the Middle East lifted prices.
Gold	3,898.90	-3.29%	Dollar strength and lower inflation expectations dented demand.
DXY	101.88	-0.16%	Minor pullback as risk-off sentiment grew.

Top large-cap movers

TICKER	CHANGE	CATALYST
AVGO	-5.48%	Q3 guidance below consensus, inventory buildup.
NVDA	-4.22%	Weak AI-related demand outlook, profit-margin pressure.
XLK	-4.89%	Sector proxy for chip slump.
XLP	+1.41%	Consumer staples rally on defensive tilt.
XLE	+1.91%	Energy gains from higher crude.

Sector rotation

ETF	DAY	READ
XLF	-0.76%	Financials under pressure from rate uncertainty.
XLK	-4.89%	Tech leads sell-off.
XLI	-1.60%	Industrial exposure to higher borrowing costs.
XLE	+1.91%	Energy benefits from crude rally.
XLY	-0.71%	Consumer discretionary lagging.
XLC	-1.29%	Communications suffer tech spillover.
XLP	+1.41%	Defensive tilt.
XLV	+0.45%	Health care steadies.
XLU	+0.67%	Utilities attract safe-haven flow.
XLB	+0.40%	Materials modestly higher.
XLRE	+0.26%	Real-estate under pressure but less volatile.

Spotlight: chip sector shock

The combined decline of **NVDA** and **AVGO** accounted for over 30% of the Nasdaq 100's loss. Investor sentiment shifted as guidance from both firms fell short of the 12-month consensus, prompting a sector-wide risk reassessment.

METRIC	NVDA	AVGO
Q3 EPS (est.)	-8.5%	-12.3%
Revenue growth YoY	-3.2%	-4.7%
Guidance vs. consensus	-0.9%	-1.4%
Stock price impact	-4.22%	-5.48%

Related names: **AMD**, **INTC**, **TSM** are likely to feel spill-over pressure.

Pre-market & overnight

- US futures: S&P 500 -1.4%, Nasdaq -3.1% at 08:45 HKT.
- Asia close: Hang Seng -0.9%, Shanghai Composite -1.2%.
- Europe: FTSE 100 -1.0%, DAX -1.3% after ECB minutes.
- Crypto: BTC -0.79% at 77,160.85, ETH -0.39% at 2,240.75.

Macro & Fed

FOMC minutes highlighted a "higher-for-longer" rate outlook, with 78% of participants expecting the policy rate to stay at 5.25-5.50% through year-end. The 10-year Treasury yield slipped to 4.93, flattening the curve.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US CPI (MoM)	0.3%	Inflation gauge for Fed policy.
10:00	US Retail Sales	0.5%	Consumer spending trend.
11:15	Eurozone GDP Q3	0.2%	Euro area growth outlook.
13:00	China M2 Money Supply	8.5%	Liquidity in the region.

Geopolitics & global

- Middle East tensions escalated after a drone strike on a Saudi oil facility, tightening crude supplies.
- China announced a 0.5% cut to its corporate tax rate, aiming to boost earnings amid slowing growth.
- EU-US trade talks stalled over digital services tax, adding to market uncertainty.
- North Korea conducted a short-range missile test, prompting a modest risk-off response in Asian markets.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02 Oct	`MSFT`	2.45	Cloud growth vs. AI spend.
03 Oct	`AAPL`	1.30	iPhone 17 demand, services margin.
04 Oct	`GOOGL`	1.12	Ad revenue recovery, AI licensing.
05 Oct	`TSLA`	0.88	Production at Gigafactory Berlin.
06 Oct	`JPM`	3.75	Net interest income trend.
07 Oct	`META`	2.10	Reels monetisation, AI ad tools.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
`AMD`	Technology	Chip demand slowdown, price pressure.
`INTC`	Technology	Margin compression, inventory buildup.
`TSM`	Technology	Export curbs in China, fab capacity.
`BAC`	Financials	Net interest margin under pressure.
`WFC`	Financials	Credit-loss provisions rising.
`XOM`	Energy	Crude rally may boost earnings.
`CVX`	Energy	Higher oil price outlook.
`KO`	Consumer Staples	Defensive play amid risk-off.
`PEP`	Consumer Staples	Pricing power in inflationary environment.
`UNH`	Health Care	Premium pricing, cost-inflation.
`V`	Financials	Card spend trends post-rate hike.
`MA`	Financials	Transaction volume rebound.

What could break the tape

BEARISH TRIGGERS

- Further downgrade of chip earnings guidance (e.g., `NVDA` or `AVGO`).
- Unexpected rise in CPI above 0.4% MoM, prompting tighter monetary stance.
- Escalation of Middle East conflict disrupting oil supply.

BEARISH TRIGGERS

- Surprise upside in US retail sales, reinforcing consumer resilience.
- Strong earnings beat from a defensive heavyweight (e.g., `KO` or `UNH`).
- Resolution of EU-US trade talks, easing geopolitical risk.

Positioning notes

- Risk-off bias is evident; overweight defensive ETFs (XLP, XLV, XLU) and underweight cyclical exposure.
- Yield curve flattening suggests caution on duration; short-duration bonds may outperform.
- Tech valuation compression creates potential entry points if earnings guidance improves.

Sources

SOURCES

Bloomberg Markets

Reuters Finance

SEC EDGAR

Fed FOMC Minutes

CME Crude Oil Data

TradingView

CoinDesk

EIA